

INDEX FUNDS TO WIN

Index fund investing is a simplified and extremely popular way to invest that is widely leveraged by people focused on building long-term wealth, because it continues to prove itself as a smart way to invest. Index funds were made popular by Jack Bogle, founder of the investment firm Vanguard, which created the world's first index fund in 1975. Jack Bogle's idea behind creating an index fund was that instead of creating human-managed funds to try to beat the performance of the stock market, index funds could simply track the performance of a benchmark index, which would eliminate more of the potential for human error, incur lower brokerage fees, and in turn realize better returns for investors over time. He proved to be right, even decades later.⁵

Across the investment and personal finance world, investing in index funds continues to be a widely talked-about and highly recommended approach to investing. Warren Buffett, one of the wealthiest men in the world as a result of his stock market investing strategies, also loves index funds and has consistently been quoted making statements like, “By periodically investing in an index fund, for example, the know-nothing investor can actually outperform most investment professionals,” and, “I think it's the thing (index funds) that makes the most sense practically all of the time.” However, to understand why index funds are so popular (and why I and millions of other people are huge fans), let's get into some of their key benefits.

THE KEY BENEFITS OF INDEX FUNDS

Index funds are passively managed and as a result are low cost. As I've mentioned, index funds (and ETFs) are set up to mimic specific indices. Because of this, there is no need for them to be actively managed by fund managers or other financial professionals, as there are typically not a lot of changes that happen in the funds' stock or bond holdings. The average index fund expense ratio is around 0.05% to 0.07% while the average mutual fund expense ratio is around 1% due to their active management.⁶ There are even some mutual funds with expense ratios in the 2–3% range. Keep in mind